

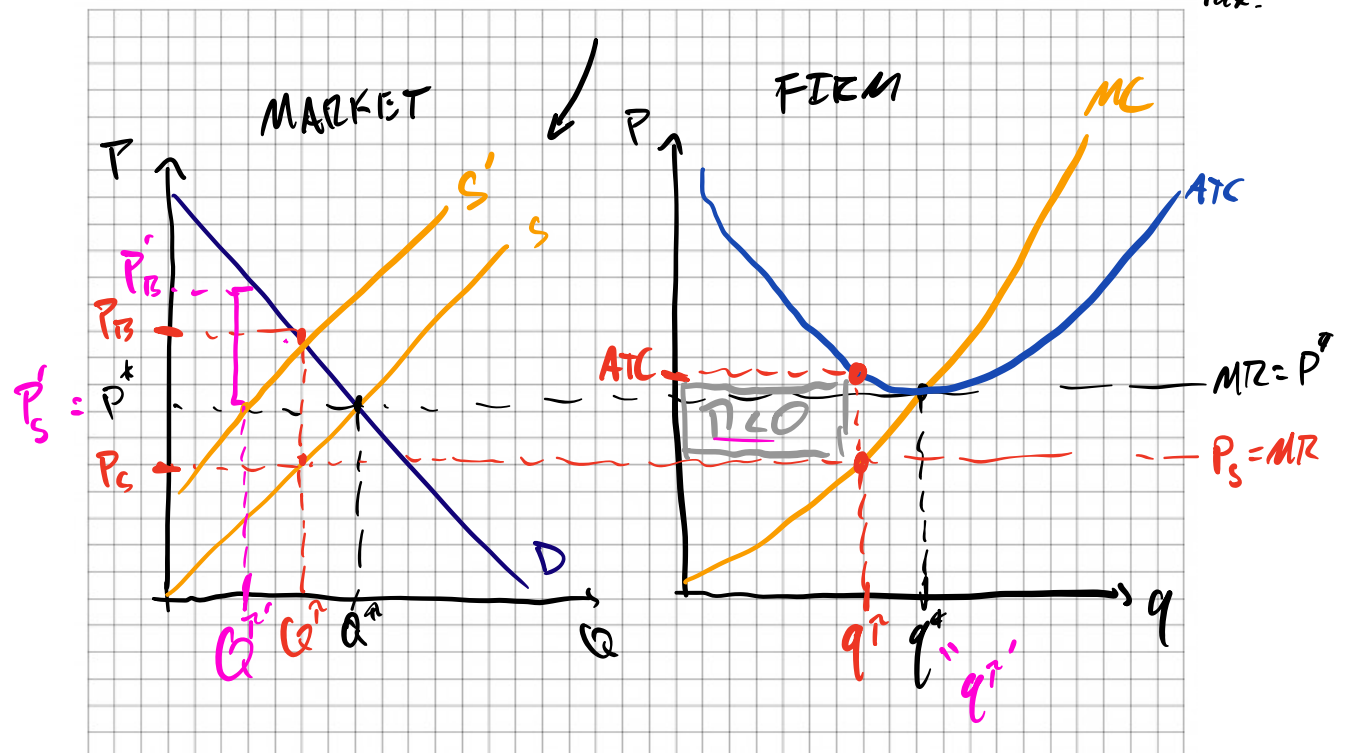
Honors Intro Micro | MiniExam 4 Demo

This MiniExam will take 25 minutes with a coffee break and review session to follow. MiniExams are designed to both test your knowledge and challenge you to apply familiar concepts in new environments. Treat it as if you're trying to show me that you understand the material. Show your work so I can understand your thought process for partial credit. And answer clearly and completely.

Question 1 | Toffee Tax

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Due to longstanding tradition, all toffees are made the same way, anyone could easily start making them, and the number of toffee makers had been constant over the past couple of years. The treat was popular among young students, but after the Ministry of Magic realized many young wizards and witches were growing up with poor teeth a tax was imposed on all toffee sales. Using a couple of graphs to illustrate your answer, explain what happened in the market because of this subsidy.



1. $P^* = MR = ATC = MC$, Q^T , q^* , $\pi = 0$
2. $P_B > P_s = MR = MC$, $P_s < ATC$, $q^T < q^*$, $Q^T < Q^*$, $\pi < 0$
3. $P_B' > P_s' = P^*$, $Q^{T'} < Q^T < Q^*$, $q^* = q^{T'} > q^T$, $\pi = 0$